

Reserve Bank of India — Guidelines on Digital Lending

Official Directions | Circular DOR.CRE.REC.66/21.07.001/2022-23 & 2025 Regulatory Updates

Section 1: RBI Digital Lending Directions 2022-2025 (Circular DOR.CRE.REC.66/21.07.001/2022-23)

Framework governing all digital lending apps and online underwriting platforms operated by Regulated Entities (REs). Mandates strict algorithmic transparency, data privacy, and explicit consent for credit scoring.

Section 2: Key Fact Statement (KFS) & Annual Percentage Rate (APR)

Before executing any digital loan contract, lenders must provide a standardized Key Fact Statement (KFS) containing the Annual Percentage Rate (APR), total cost of credit, repayment schedule, and risk category.

Section 3: Algorithmic Model Transparency & Feature Grounding

Machine learning scoring models (including XGBoost / Gradient Boosting algorithms) must evaluate validated credit bureau metrics without discriminatory demographics. Missing variable handling must be performed via neutral mean Z-score imputation.

Section 4: Credit Information Company (CIC) Reporting

All digital lending transactions, delinquency histories, 30+ DPD occurrences, and bureau inquiry logs must be reported accurately to Credit Information Companies (CIBIL, Experian, CRIF High Mark).